

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY

Fifth Semester B.Tech. Degree Examination January 2023 (2019 Scheme)

Course Code: HUT300

Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE

Max. Marks: 100

Duration: 3 Hours

PART A - Answer all questions, each carries 3 marks.

1 Why does the problem of choice arise in an economy?

3

- The basic economic problem that arises because people have unlimited wants but resources are limited.
- The **three basic economic problems** regarding the allocation of resources are :
 - What to produce ?
 - How to produce?
 - For whom to produce?

2 What is inelastic demand?

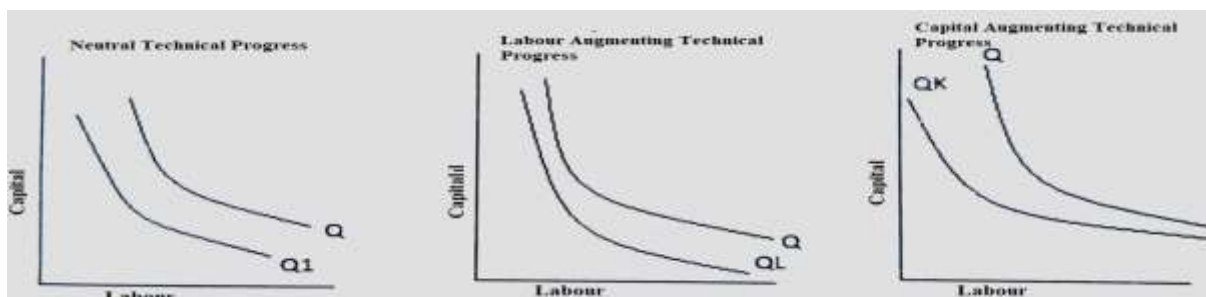
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The demand for a good is said to be *relatively inelastic/ inelastic* when a given proportionate change in price causes a less than proportionate change in quantity demanded. For eg if price changes by 20% quantity demanded changes by 10%. The demand curve will be a very steep curve.

3 What do you mean by labour augmenting technical progress?

3

2. Labour Augmenting Technical Progress: It means the marginal product of labour increases faster than the marginal product of capital. Here, the new isoquant becomes more steeper.



4 Suppose $AC > Price > AVC$. Will a producer produce or shutdown in the short run? Give reason.

3

Firm will continue production because $P > AVC$.

5 Why a firm under perfect competition is called a price taker?

3

Under perfect competition, price of a product is determined for the entire industry by the forces of market demand and market supply. This price is accepted by each firm in the Industry. Therefore a seller under perfect competition is called a price taker.

6 What is collusive oligopoly?

3

Collusive oligopoly is a secretive agreement between two or more organizations, formed with the aim of gaining illegal mutual benefits. In other words, Collusion is an informal agreement between competitive parties to cooperate to limit competition and raise prices, increasing monopoly power and raising profits.

7 Distinguish between final goods and intermediate goods.

3

Basis	Final goods	Intermediate goods
Meaning	Final goods refer to those goods which are used either for consumption or for investment.	Intermediate goods refer to those goods which are used either for resale or for further production in year.
Nature	They are included in both national and domestic income.	They are neither included in NI nor in domestic income.
Production boundary	They have crossed the production boundary.	They are still within the production boundary.

8 What is a Trading account?

3

A trading account can be any investment account containing securities, cash or other holdings.

Trading accounts require personal identification information and have minimum margin requirements set by FINRA (Financial Industry Regulatory Authority).

9 Point out any three items coming under unilateral transfers account.

3

Unilateral transfers include **gifts, donations, personal remittances**, and other 'one-way' transactions.

10 What is balance of payments?

3

Balance of payments is a systematic record of all economic transactions of a nation with the rest of the world for a specific period of time.

The main purpose of balance of payments is to inform the Governments regarding the international currency position of the nation and to help in the formulation of policies accordingly.

PART B

(Answer one full question from each module, each question carries 14 marks)

Module -1

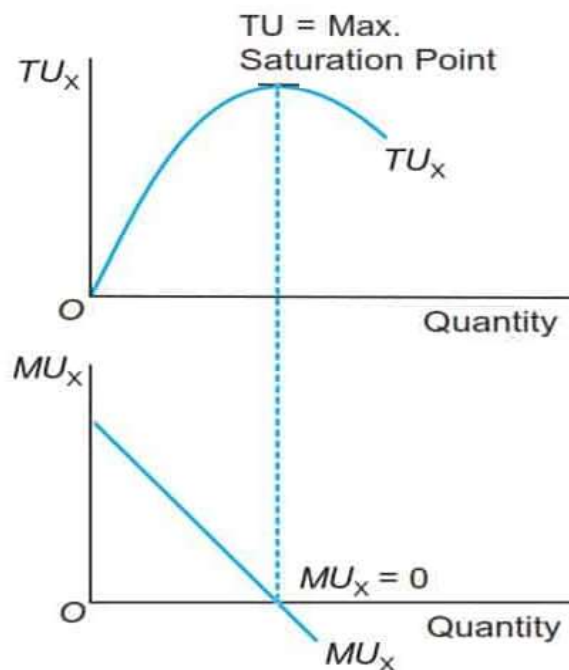
11 a) Draw total utility and marginal utility curves and derive the three relations between marginal utility and total utility.

7

Utility is the want satisfying power of a commodity or service. In other words, the capacity of a commodity to satisfy a particular human want is called utility. Utility determines demand for a commodity.

Total Utility (TU) is defined as the total psychological satisfaction which a consumer gets from consuming a given amount of a particular good.

Marginal Utility (MU) is the utility obtained from the last unit consumed. In other words, MU is the additional utility obtained by consuming one more unit of a good or service per unit of time.



Relation between MU and TU

1. When MU is positive, TU increases (but at a diminishing rate)
2. When MU = 0, TU is maximum
3. When MU is negative, TU decreases.

b) What is cross elasticity of demand? Suppose cross elasticity of demand between X and Y is 0.5. If there is a 50 percent change in the price of Y, what will be the percentage change in the quantity demanded of X? 7

Cross elasticity of demand is the degree of responsiveness of quantity demanded of a commodity to the change in the price of its substitutes and complementary goods.

$$\begin{aligned} \text{Cross Elasticity, } E_c &= \frac{\% \text{ change in demand of Good } x}{\% \text{ change in Price of Good } y} \\ 0.5 &= \frac{\% \text{ change in demand of Good } x}{\% \text{ change in Price of Good } y} \end{aligned}$$

=

25%

12 a) What is deadweight loss of a tax? Examine the consumer and producer surplus before and after a tax with the help of a diagram. 7

1. Consumer Surplus

The difference between the price that consumers are willing to pay for a good and the price that they actually pay for a good is called **consumer surplus**.

For example, suppose a person was ready to pay Rs. 1500 for a shirt. But the actual price was Rs. 1200 and hence he paid only this amount. Here the difference Rs. 300 is the consumer surplus.

2. Producer surplus

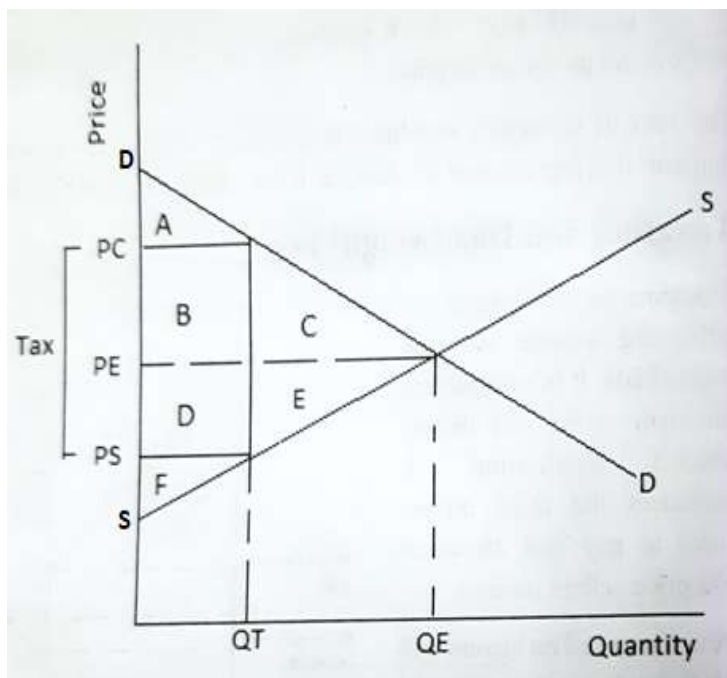
Producer surplus is the difference between price at which producers are willing to sell a good and the price they actually receive from consumers.

Therefore, it is the difference between the supply curve and the market price. Producer surplus is a measure of producer welfare.

In the diagram the seller is ready to sell the equilibrium quantity Q^* for an amount equal to $OSEQ^*$ but he actually gets OP^*EQ^* . The difference P^*ES is the producer surplus. The sum of consumer surplus and producer surplus is the **social surplus**. In the above diagram it is represented by the area **DES** where **DEP*** is the consumer surplus.

Deadweight loss due to tax is the loss in social welfare due to the imposition of the tax.

Deadweight loss can be explained with the help of the following diagram.



In the absence of tax market is in equilibrium when PE is the price and QE is the quantity traded in the market. In this situation consumer surplus is equal to A+B+C and the producer surplus is equal to D+E+F. Here the social surplus (total surplus) equals A+B+C+D+E+F.

When the tax is imposed, the price that the consumers have to pay increases to PC. Therefore, the quantity traded in the market decreases to QT and the price received by the sellers decreases to PS.

Because of the tax consumer surplus decreases to A and producer surplus decreases to F. Tax revenue is B+D. After the tax, the total surplus is A+B+D+F. There is a loss in the social surplus equivalent to 'C+E' which is not appropriated by the Government, consumers or producers. Thus, the area C+E is the deadweight loss due to tax.

b) The demand function of a product is given as $D = 60 - 2P$ and the supply function $S = 30 + 4P$. Estimate equilibrium price and equilibrium quantity. Also find the excess supply when Price equals Rs.6?

$$\begin{aligned} \text{At the equilibrium point, Demand} &= \text{Supply} \\ \text{That is, } 60 - 2P &= 30 + 4P \\ 6P &= 30 \\ \text{Therefore, } P &= 5 \end{aligned}$$

Thus equilibrium price of the product is Rs. 5

To find the equilibrium quantity substitute equilibrium price in any one of the equations.

When equilibrium price is substituted in demand function we get,

$$D = 60 - 2 \times 5 = 60 - 10 = 50$$

Thus equilibrium quantity is 50

When $P = 6$

$$D = 60 - 2 \times 6 = 48$$

$$S = 30 + 4 \times 6 = 54$$

Therefore, excess supply when $P = 6$ is $(54 - 48) = 6$

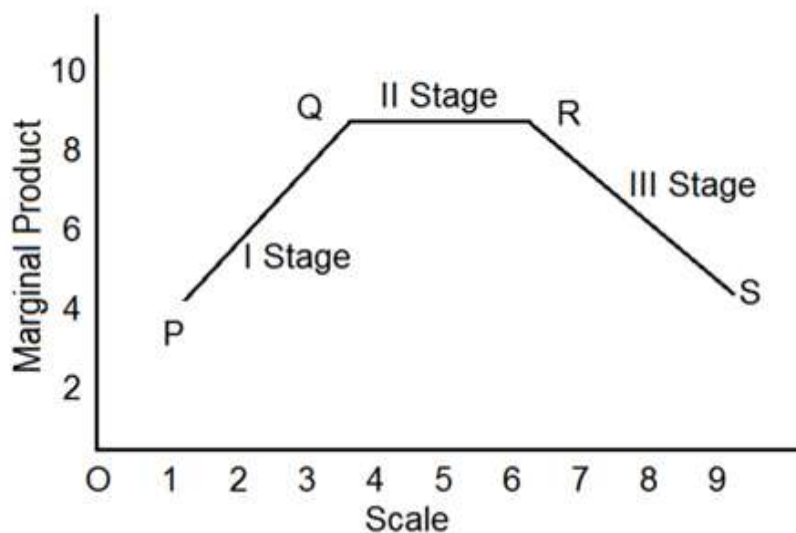
Module -2

13 a) What do you mean by returns to scale? Represent it using a figure.

7

- Returns to scale is a long-run production function. In the long-run there is no distinction between fixed factors and variable factors. In other words, all factors are variable in the long run.
- Returns to scale refer to changes in returns (output) caused by proportionate change in all inputs.
- There are three types of returns to scale. They are;
 - a) Increasing Returns to scale : This is the situation in which proportionate increase in all factors of production leads to more than proportionate increase in output. For example, a 20% increase in all factors leads to a more than 20% increase in output. In the initial stage of expansion of production, increasing returns to scale operate.

- b) Constant Returns to Scale: Constant Returns to Scale is the situation in which a given proportionate increase in factors causes an equally proportionate increase in output. For example, a 20% increase in inputs causes a 20% increase in output.
- c) Diminishing Returns to scale: Diminishing returns to scale is a situation in which proportionate increase in inputs causes a less than proportionate increase in output. For example, a 20% increase in inputs causes a less than 20% increase in output.



b) Suppose a firm pays Rs.10000 as monthly rent and Rs.10000 as interest payment. Its monthly expenditure on raw materials is Rs.40000 and it get monthly sales revenue of Rs.80000. The price of one unit of output is Rs.40. Estimate i) PV Ratio ii) Break even sales iii) Break-even output iv) Profit earned v) Margin of safety. (7)

Ans: TFC = 10000+10000 =20000

TVC = 40000

TC = TFC+TVC = 20000+40000 = Rs. 60000

TR = Rs. 80000

PV Ratio = $\frac{S-V}{S} = \frac{80000-40000}{80000} = 0.5$

Break Even Sales = $\frac{TFC}{PV \text{ Ratio}} = \frac{20000}{0.5} = \text{Rs. } 40000$

Break Even Output = $\frac{40000}{40} = 1000 \text{ units}$

Profit = TR – TC = 80000 – 60000 = Rs. 20000

Margin of Safety = 80000 – 40000 = Rs. 40000

OR

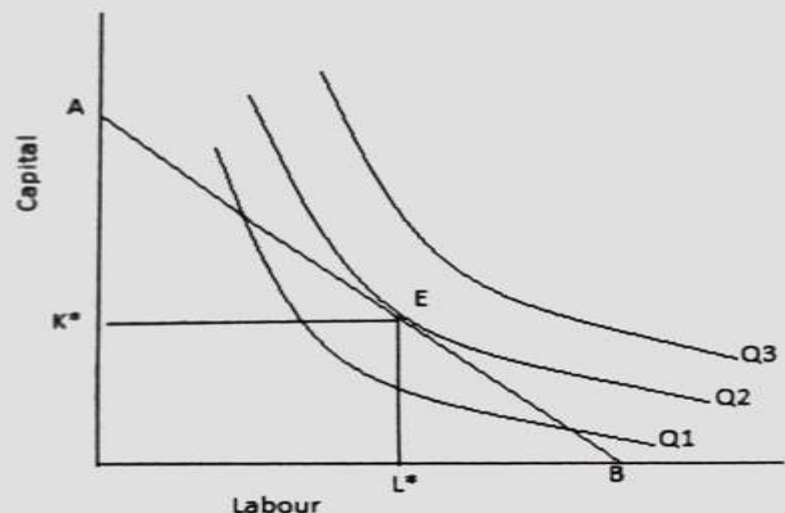
14. How will you explain producer's equilibrium with the help of an isoquant and iso-cost line? 7

An isoquant is a curve which shows various combinations of two inputs which give the same level of output. 'Iso' means equal and quant means quantity. That is equal quantity of output. Isoquants are also called isoproduct curves or equal product curves.

An isocost line shows various combinations of labour and capital (two inputs) that can be purchased for a given expenditure of the firm.

Least Cost Combination – Producer's Equilibrium

A producer will be in equilibrium when he is able to produce a given quantity of output with least cost or when he produces maximum output with a given amount of inputs. In other words, least cost combination of inputs is that combination which cost least to the firm in producing a certain quantity of output. It is attained at that point where the isoquant is tangent to the isocost line. This is shown in the diagram.



In the diagram, producer is in equilibrium at point E, where the highest possible isoquant is tangent to the isocost line. He is able to produce the maximum output with the available resources. In other words, output Q2 is produced with the least cost.

At the point of tangency, the slope of the isoquant and the slope of the price line are the same. Slope of the isoquant is $-\frac{\Delta K}{\Delta L} = \frac{MPL}{MPK}$ and slope of the isocost line is $\frac{PL}{PK}$. Therefore, at the equilibrium point

$\frac{MPL}{MPK} = \frac{PL}{PK}$ This is the condition for producer equilibrium. That is the ratio of marginal productivity of labour and capital should be equal to the ratio of their prices.

Module -3

15 a) Make a comparison between monopoly and monopolistic competition. Draw figures showing the determination of equilibrium under both.

7

Monopoly

The word 'monopoly' means a single seller. Monopoly is a market situation in which a single seller controls the entire supply of a commodity.

Monopolistic Competition

Monopolistic competition is a market situation characterized by competition among fairly large number of firms selling differentiated products which are close substitutes.

Monopoly	Monopolistic Competition
Single Seller and large no. of buyers	Large number of buyers and sellers
Single product without close substitutes	Differentiated product
Freedom of entry restricted	Freedom of entry and exit
No selling cost	Selling cost
Downward sloping less elastic demand curve	Downward sloping more elastic demand curve

For diagram please refer 'Module 3' notes.

b) Explain cost plus and going rate pricing.

1. Cost Plus or Markup Pricing

Under this strategy price is the sum of cost and a profit margin. Usually, average cost is used for this purpose. Therefore, it is also called Average Cost Pricing or Full Cost Pricing. Thus, the price will be

Price = AC + m Where m is the percentage of markup. Markup is fixed arbitrarily and in many cases it is determined at 10 per cent. However, it may vary industry to industry and among the different firms in the same industry depending on the availability of substitutes, degree of competition etc. This method is very simple and convenient. However, one important limitation of this method is that it is not suitable when there is tough competition in the market or when there is the threat of entry of new firms.

5. Going Rate Pricing

This is the strategy of following the prevailing market price instead of a separate pricing strategy of their own. Usually, in this case price is fixed by a dominant firm and others accept it. Going rate pricing strategy is adopted when the products sold by the sellers are very close substitutes and their cross elasticity is very high. Packaged drinking water is an example. Besides, when new firms are not sure about the shift in demand in favour of them, they also follow this pricing strategy. By adopting this pricing strategy firms can avoid a price war like situation.

This kind of a pricing strategy is adopted when the product has reached maturity and has become generic in nature. That is a buyer asks for a product in general rather than a particular brand. An example is mineral water.

OR

16 a) What are the major features of monopolistic competition? Suppose a firm under monopolistic competition is getting supernormal profit. Draw a diagram and explain this situation. 7

Monopolistic Competition

Monopolistic competition is a market situation characterized by competition among fairly large number of firms selling differentiated products which are close substitutes.

Features of Monopolistic Competition

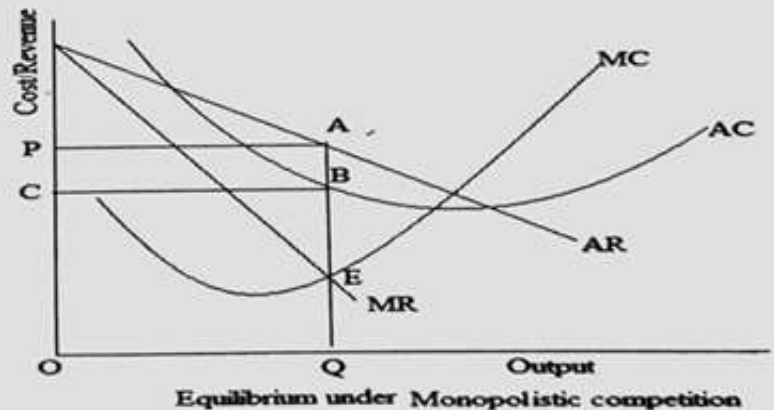
- 1. Existence of very large number of buyers and fairly large number of sellers** — Similar to perfect competition there are large number of buyers and sellers in monopolistic competition. But the number of sellers is not as large as in perfect competition.
- 2. Product differentiation-** Product differentiation is the essence of monopolistic competition. Each firm produces a product which is differentiated from the products of rival firms.
- 3. Selling cost-** Selling costs are those expenses which are incurred for promoting sales. Monopolistic firms incur huge expenditure on advertisement and other sales promotional techniques.

- 4. Freedom of entry and exit-** There are no restrictions on the entry or exit of firms. New firms can enter into the industry or loss making firms can leave the market at any time.
- 5. Imperfect knowledge** — The information about market conditions like price, quality, cost etc. is not uniformly available to all buyers and sellers.

Price and output determination

A firm in monopolistic competition is in equilibrium when it maximises profit. Profit is maximum when it produces that level of output where $MC=MR$ and MC is rising at the equilibrium point. Usually a firm earn supernormal profit in the short run. This situation is explained with the help of the following diagram.

In the diagram at point E, $MC = MR$ and at this point firm is producing OQ level of output. When production is OQ, average cost is QB but AR is greater than AC which is QA. Hence the difference between AC and AR, that is AB shows profit per unit of output. The rectangle PABC represent total profit earned by the firm.



b) State the features of Oligopoly. Why price is rigid under oligopoly?

7

- Oligopoly is a market situation characterized by competition between a few firms producing similar or differentiated products. Markets for passenger cars, motor cycles, scooters etc. are characterized by a limited number of firms.
- The products sold by the oligopolists may be differentiated or homogeneous. If they sell a homogeneous product, it is known as perfect oligopoly, and if they deal in differentiated products, it is known as imperfect oligopoly.

Features of Oligopoly

1. A few sellers: The number of firms in oligopoly will be only a few.

2. Interdependence between firms: Since the number of firms is limited, any action by one firm will lead to reaction from other firms. For instance, if one firm reduces the price of its product, other firms will do likewise. This leads to interdependence between firms.

3. No barriers to entry: There are no restrictions, legal or otherwise, on the firm's entry in to or exit from the Industry.

4. Product may be homogeneous or differentiated: The product sold in the oligopoly market can be either homogeneous like cooking gas, steel and petrol or differentiated like motor cycles and scooters.

5. Selling costs: Selling costs are those expenses which are incurred for promoting sales. Oligopolistic firms incur huge expenditure on advertisement and other sales promotional techniques.

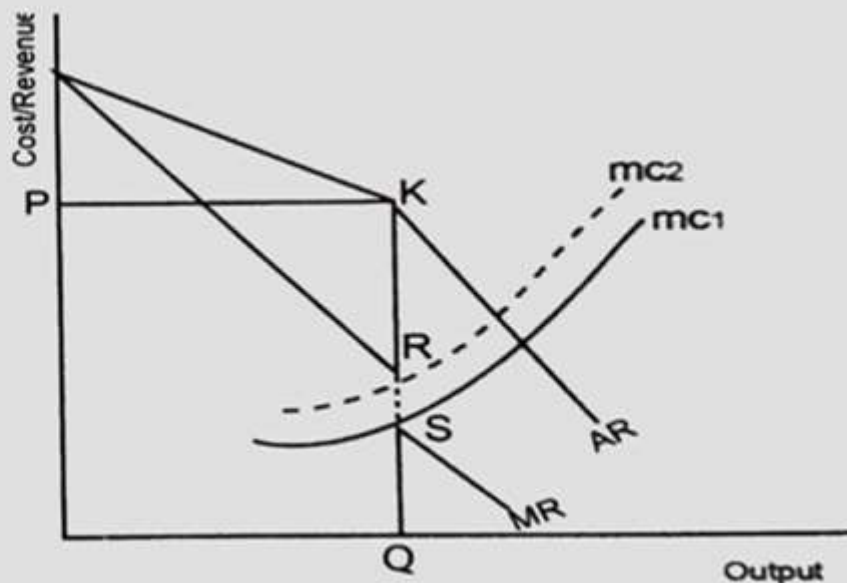
Price and output determination-Kinked demand curve model

The kinked demand curve model was developed by Paul M Sweezy in 1939. Kinked demand curve explains price rigidity under oligopoly on the basis of following assumptions.

- i. If a firm increases its price others will not follow.
- ii. If a firm decreases its price others will also do the same.

Usually in oligopoly firms will not enter into a price war and hence price remains rigid. If one firm decreases the price others will also reduce price. Hence firm's demand will not increase but at the same time it will affect their profitability. On the other hand if the firm increases the price others will not increase the price and hence it will lose its customers. Therefore a firm under oligopoly stick to its price.

This kind of behaviour in oligopoly was explained by the kinked demand curve. The lower part of the demand curve is less elastic because a firm cannot gain from a price cut. The upper part of the demand curve is more elastic because there will be a substantial fall in demand if there is a price hike. Thus, in the following diagram we can see that there is kink at point K in the demand curve.



This kink in the demand curve or AR curve at point K creates a discontinuity in the MR curve. At the kink MR remain unchanged between points S and R. Marginal cost curve mc_1 intersect MR curve at point S and OQ is the equilibrium level of output. Suppose cost increases and MC curve shifts upwards as mc_2 there will not be any change in equilibrium price and quantity till MC reaches the point R in the gap.

Module -4

17 a) What is monetary policy? What are the monetary policy measures?

7

Monetary Policy: Monetary policy is adopted, by the monetary authority or the central bank of a country to influence the supply of money and credit by changing interest rate structure and availability of credit. Price stability and economic growth are the two main objectives of monetary policy.

Various monetary measures to control inflation are explained below;

- i) **Increasing Bank Rate:** Bank rate is the rate at which the central bank lends money to the commercial banks. An increase in the bank rate leads to an increase in the interest rate charged by commercial banks which, in turn, discourages borrowing by businessmen and consumers. This will reduce money supply with public and thus control the inflationary pressure.
- ii) **Open Market Operations:** Open market operations are another method of quantitative credit control used by a central bank. The purchase or sale of government securities by the central bank of the country is known as open market operations. If the central bank wants to reduce the credit-creating capacity of commercial banks, it will sell govt. securities to the public or to the banks themselves. As a result the amount of cash with the banks will diminish and this will force them to reduce the supply of credit.
- iii) **Varying Reserve Ratio(CRR):** Another monetary measure to check inflation is to increase the minimum reserve ratio. Every commercial bank should keep a certain percentage of their total deposits in the central bank in the form of cash reserve. This is mandatory and this percentage is called CRR.

b) How is national income estimated according to the income method? Estimate NDP and NNP from the given data (all figures in Rs. Crores). Wages and salaries = 800, Rent = 300, Depreciation = 200, Interest = 400, Net Indirect tax = 400, NFIA = 100, Profit = 400.

Income Method

7

Income method measures the national Income from the distribution side. According to this method, national income is obtained by summing up of the incomes of all individuals in the country. It means it is the total of incomes received by all the factors of production in a country during a given period.

Steps in Income Method

The income method of calculating national income involves the following four steps.

i) **Classifying production units in to sectors:**

All the production units in the economy are broadly classified in to the following three sectors.

a. Primary Sector : This includes agriculture and allied activities, fishing, mining, quarrying etc.

b. Secondary Sector (Manufacturing Sector): This sector includes all the units engaged in manufacturing goods. (manufacturing involves transforming one type of commodity in to another type).

c. Tertiary Sector(Service Sector) : The tertiary sector includes all the units engaged in the production of services. The Important services are transport and communication, trade and commerce, banking, insurance, education, health etc..

ii) **Classifying factor incomes:**

Using the income method, factor incomes are classified in to three broad categories. They are;

a) Compensation to Employees : Compensation to employees consists of wages and salaries paid to labour in cash or in kind. (eg. Employer's contribution to P.F, free ration, free housing, medical benefits etc.)

b) Operating Surplus : Operating surplus consists of rent, interest, and profit.

c) Mixed Income : Mixed income is the income of self-employed persons.(The income earned by self-employed persons will have the elements of wage, rent, interest and profit. Hence it is known as mixed income).

iii) Estimating factor incomes : When the factor incomes received by the factors of production in all production units in a sector are added up, we get the total income generated in that sector. Similarly, the factor incomes received by all the three sectors can be estimated. The sum of this will give us the domestic factor income or GDP ($GDP = R+I+W+P$).

iv) **Calculating the net factor income from abroad**

Calculating the net factor income from abroad and adding it to the value of the domestic product to get gross national product (GNP).

$$GNP = GDP + \text{Net factor income from abroad}$$

By subtracting the total amount of depreciation from the figure of gross national product, we get the net national product, or national income.

$$NI \text{ or } NNP = GNP - \text{Depreciation}$$

b) $NDP_{FC} = \text{Rent} + \text{Wages} + \text{Interest} + \text{Profit}$

$$= 300 + 800 + 400 + 400 = 1900$$

$$NDP_{MP} = NDP_{FC} + \text{Net Indirect Tax} = 1900 + 400 = 2300$$

$$NNP_{MP} = NDP_{MP} + NFIFA = 2300 + 100 = 2400$$

OR

Money Market: Money market is a short term credit market which deals with the relatively liquid and quickly marketable assets like short-term government securities, treasury bills etc.

According to Crowther, “the money market is the collective name given to the various firms and institutions that deal in the various grades of near money”.

The following are the important functions performed by the money market.

1. **Financing Trade:** Money market finance internal and international trade. Finance is made available to the traders through bills of exchange, which are discounted by the bill market.
2. **Financing Industry:** Money market contributes to the growth of industries. Money market helps the industries in securing short-term loans to meet their working capital requirements.
3. **Profitable Investment:** Money market enables the commercial banks and other financial institutions to invest their excess reserves in profitable way.

Capital Market: The capital market refers to the institutional arrangements which facilitate the lending and borrowing of long – term funds. The instruments which are traded in a capital market includes stocks, bonds, debentures etc.

1. Allocative function- The capital market functions as a link between savers and investors. It plays an important role in mobilising the savings and diverting them in productive investment. In this way, capital market plays a vital role in transferring the financial resources from surplus and wasteful areas to deficit and productive areas, thus increasing the productivity and prosperity of the country.

2. Encourages Saving- With the development of capital, market, the banking and non-banking institutions provide facilities, which encourage people to save more.

3. Encourages Investment - The capital market facilitates lending to the businessmen and the government and thus encourages investment. It provides facilities through banks and nonbank financial institutions. Various financial assets, *e.g.*, shares, securities, bonds, etc., induce savers to lend to the government or invest in industry. With the development of financial institutions, capital becomes more mobile, interest rate falls and investment increases.

Module -5

19 a) Examine the comparative cost theory. Point out any two criticisms against this theory. 7

Comparative cost advantage theory was developed by David Ricardo in 1857. Later it was refined by J S Mill, Marshall and others. According to Ricardo, even in the case of a country for which there is no absolute advantage for both the commodities, it can gain from international trade. In this situation, the country should specialise in the production and export of the commodity in which its absolute disadvantage is smaller and import the commodity in which its absolute disadvantage is greater. In other words, a country should specialise in the production of that commodity in which it is more efficient and leave the production of the other commodity to the other country.

The Ricardian theory is based on the following assumptions.

1. There are only two countries and two commodities
2. There are no barriers in international trade
3. There is no transport cost
4. Labour is the only component of cost of production
5. There is perfect competition and full employment

Ricardo in his two commodity, two country model taken cloth and wine as commodities and England and Portugal as two countries.

Country	No. of units of labour Per unit of cloth	No. of units of labour per unit of wine	Exchange ratio
England	100	120	1 wine = 1.2 cloth
Portugal	90	80	1 wine = 0.88 cloth

The above example shows that Portugal has an absolute advantage in the production of both the commodities. However, a comparison of the ratio of the cost of wine production with ratio of the cost of cloth production in these two countries reveals that Portugal has a higher advantage in the production of wine. Hence it will specialise in wine production and produce wine. At the same time, England has a comparative advantage in cloth production and it will produce cloth. England can import wine from Portugal and Portugal can import cloth from England. Both the countries have mutual gain from trade as explained below.

In the absence of trade, one unit of wine commands 1.2 units cloth in England and 0.88 units of cloth in Portugal. When trade takes place, Portugal will gain if it can get anything

more than 0.88 units of cloth for one unit of wine. Similarly, England will gain if it has to sacrifice anything less than 1.2 units of cloth. Therefore, any exchange ratio between 0.88 and 1.2 units of cloth for one unit of wine will bring a gain for both the countries.

Criticism

Most of the assumptions of the theory are its limitations. The following are the important criticisms against comparative cost theory.

1. Labour is not the only element of cost.
2. Exchange ratio is not always fixed according to the cost ratios. Demand and supply play an important role in fixing the price.
3. The assumption of full employment and perfect competition are not valid.

b) What is protection? State any five arguments in favour of protection.

7

- Protection refers to the foreign trade policy of encouraging home industries by paying bounties (or giving subsidies) to domestic producers or more usually by imposing customs duties on foreign products.
- In other words, the term protection refers to a policy where by domestic industries are to be protected from foreign competition.

Tariff system (i.e., customs duty) is an important and most common method of protection.

Arguments for Protection

1.The Revenue Arguments : The main objective of giving protection to the home industry by imposing import duties is to earn revenue because only foreigners pay tax.

2.Protection Saves Jobs : The use of tariffs discourages imports and raises their prices to the domestic consumers. This leads to diversion of demand for goods produced at home. The home industry is encouraged and thus more employment is provided for the home population.

3.To Check the Import of Luxuries and Harmful Goods: Another argument is advanced in favour of protection is that it checks the import of many harmful and luxury goods. Their import adversely affects the character of the people. In order to escape from the harmful effect of these goods, protection is quite helpful.

4.Protection Safeguards National Security : In times of war or any other emergency, dependence on foreign goods, which are very essential, may not be available. Therefore, a country must build up its own industry and develop farming industry even if these involve an economic loss to the country.

5.Protection for Conserving Natural Resources : Protection is essential for preserving the natural resources of a country. The unchecked trade often leads to exhaustion of mineral resources which are very vital for the development of the country.

OR

20 a) What are the disadvantages of foreign trade? Examine the effects of quotas on international trade.

7

International Trade / Foreign Trade

According to Penguin Dictionary “the exchange of goods and services between one country and another is called international trade”.

According to Anatol Murad, “ international trade is a trade between nations”.

Disadvantages of international trade

1. A threat to domestic industries: International trade has an adverse effect on the development of home industries. It poses a threat to the survival of infant industries at home.
2. Economic dependence: Underdeveloped nations have to rely on developed countries for their economic growth. Such dependency often results in economic exploitation.
3. Misuse of natural resources: Constant and excessive exports can exhaust the natural resources in a country.
4. Endangers independence: Foreign trade encourages slavery. It impairs the economic independence of the poor nations.

Tariffs are taxes on imports. The government often charges tariffs as a percentage of the imports' value, and the tariffs are paid by the importers.

Quotas are quantity limits of imports. When the government imposes a quota on a product, it tells importers that they can only import up to this amount of that product into the country.

Effects of Quotas.

1. Price Effect: Import quota is the direct physical limitation of the quantity of the given commodity imported from the foreign country. The enforcement of import quota restricts its availability in the home market and creates shortage and consequent rise in its price.
2. Protective or Production Effect: An import quota has a protective effect. As it reduces the imports, the domestic producers are induced to increase the production of import substitutes. The increased domestic production due to import quota is called as the protective or production effect.
3. Consumption Effect: After the import quota is prescribed, there is a rise in the domestic price of the given commodity. As a consequence, the consumption of the commodity gets reduced. This is known as the consumption effect.
4. Redistributive Effect: The fixation of import quota leads to a rise in the price of the given commodity. It may result in a loss in consumer's surplus for the importing country. At the same time, higher price and increased production ensures a gain in producer's surplus. Thus import quota causes redistributive effect in the quota enforcing country.
6. Balance of Payments Effect: One of the objectives of enforcing import quota is to reduce the balance of payments deficit by restricting imports. That portion of

national income going into imports can be utilised for investment in the import-substitution or export industries. The expansion in exports, coupled with restriction of imports is likely to bring about improvement in the balance of payments position of the country.

b) Evaluate the success or failure of devaluation when the demand for import is more elastic or less elastic. **7**

- Devaluation means a deliberate reduction of the value of the domestic currency in terms of foreign currencies.
- A country which faces a serious problem of deficit in the balance of payments may resort to devaluation. This will stimulate their export and discourage import.
- When devaluation is effected, value of the home currency goes down against foreign currency.

Devaluation is successful only when other country does not retaliate the same. If both the countries go for the same, the effect is nil.

Devaluation is successful only when the demand for exports and imports is elastic. In case it is inelastic, it may turn the situation worse.

Devaluation, though helps correcting disequilibrium, is considered to be a weakness for the country
